

The basic arithmetic of leverage is simple and compelling. Suppose you have \$10,000 invested in a mutual fund and the mutual fund goes up by 15% in one year. That means you've made \$1,500 on your original \$10,000 investment. Now, that's nice, but it could be a lot nicer. This is because if you could somehow borrow an additional \$10,000 (the equivalent of 100% leverage) and invest \$20,000 (\$10,000 + \$10,000) in the mutual fund, you will have made a lot more by year's end.

With a 15% return, the \$20,000 would become \$23,000. Of course, from that amount you would have to subtract the original loan of \$10,000, plus any interest that you might have paid—say, \$500 (5% on \$10,000). That would leave you with \$12,500. Wow! You started with \$10,000 and turned it into \$12,500, a full \$1,000 more than if you had not borrowed. That's the equivalent of a 25% return. In other words, you've leveraged the fund's 15% return into a 25% return. That's what I call "the good."

Given the potential power of leverage, it's no wonder that investors, back in 1998, were rushing out to remortgage their homes, cottages, boats, and children to invest the proceeds in the stock market. As long as (after-tax) interest payments were lower than your investment earnings, you would end up ahead of the game. In fact, if you borrowed \$20,000 for every \$10,000 you owned—a leverage factor of 200%—you could have earned 35% on your original \$10,000. The only constraint might have been a financial institution that placed restrictions on leverage or margining ratios—or perhaps a financial planner with some common sense. For example, some brokerages might restrict the amount you can borrow to 50% or perhaps 80% of the value of your investments. So, if you have \$100,000 in stocks, you can buy another \$50,000 to \$80,000 on margin. This way you would have, say, \$180,000 in assets, \$80,000 in debt, and the same \$100,000 in personal equity.

The arithmetic works in reverse as well. Yes, if markets move up by 15% a year, everything is peachy keen. But if markets suddenly drop 25% in one year (or worse, in one quarter), then you not only lose 25% on your original investment of \$10,000, you lose 25% on the borrowed money as well. When it comes time to pay back the loan, the problems start to pile up.